

Atchíson



December 2025



Monthly Market Update

Illuminating
the way forward



Key Events in December 2025

December – Global markets take a holiday as evidenced by lower trading volumes

- For investors in a balanced 70/30 stock-bond portfolio – provided they stayed invested, we expect a return of around +10% for 2025. In our view 2025 is a case study in the power of tuning out the noise (e.g. “Liberation Day”, 2nd April 2025), and staying invested for the long term.
- The Australian share market posted mixed results with the broader index posting +1.3%, as strength in materials and financials offset weakness in technology and healthcare. For the full year, the broader Australian share market returned a healthy +10.3%, supported by materials and resources stocks. Materials were up strongly with +31.7% on the back of elevated commodity prices, and demand for energy transition and critical minerals.
- The international share market returned -0.9% (unhedged) and +1.5% (hedged). December saw a more cautious tilt in equity markets as investors became risk-averse, partly driven by rising global Treasury yields and concerns about speculative asset valuations late in the year. USD weakness later in the year enhanced returns for Australian hedged investors, and over the year, the international share market delivered strong returns with +12.6% (unhedged) and +19.3% (hedged). Unhedged U.S. stocks finished down -1.7%, while the hedged version gained +1.2%. The Nasdaq declined -2.2%, whereas the hedged counterpart edged up +0.3%. For 2025 U.S. stocks were up approximately +16%, Nasdaq was up about +20% and Dow Jones Industrial Average was up +13%. These gains mark three consecutive calendar years of double-digit returns for major U.S. indices.
- Developed markets ex-U.S. were a positive contributor, benefitting from Europe. Emerging markets were broadly flat with gains in parts of Asia offsetting softer Latin American performance.
- The bond market experienced a rise in yields (and a corresponding drop in bond prices) was consistent with bond markets anticipating slower or delayed rate cuts and adjusting to elevated government borrowing and inflation expectations late in the year.
- Gold and Silver prices ended the year at or near record highs, with strong gains through December.
- The Reserve Bank of Australia (RBA) maintained the cash rate at 3.60%, with markets and policymakers closely watching incoming data for clues on the direction of future rate moves.
- In Australia, inflation remained above the RBA's target band (headline ~3.8%) as of early December, reinforcing market expectations that interest rates could stay higher for longer despite earlier speculation of cuts. This outcome complicated prospects for near-term monetary easing.
- CEOs of major Australian retail and consumer-facing companies, including Woolworths, Coles, Wesfarmers and Scentre, publicly signalled cautious optimism about consumer demand and near-term economic resilience, while warning of regulatory and productivity headwinds in 2026.
- The Organisation for Economic Co-operation and Development (OECD) released its December 2025 Economic Outlook, highlighting that the global economy remained resilient but fragile, with projected growth slowing modestly into 2026 before stabilising in 2027. The outlook emphasised ongoing challenges such as trade uncertainty, and policy fragility across major economies.
- The December U.S. Federal Reserve (U.S. Fed) meeting delivered one of the most closely watched policy decisions of the year, as they cut interest rates for the third consecutive time. The central bank lowered the benchmark range to 3.50%–3.75%.
- Institutional global outlooks reiterated themes of policy divergence, inflation persistence and geopolitical risk, shaping expectations for 2026 fiscal and monetary stance.
- China's official manufacturing Purchasing Manager's Index (PMI) rose to 50.1 in December, signalling a return to growth after eight months of contraction, driven by stronger domestic orders ahead of the New Year holiday and easing trade pressures.
- India was reported to have overtaken Japan as the world's fourth-largest economy in nominal GDP terms, marking a milestone for emerging markets.

Asset Class Summary

Table 1: Asset Class Returns – Periods to 31 December 2025

	1 Month %	3 Months %	1 Year %	3 Years % pa	5 Years % pa	10 Years % pa
Australian Shares	1.4	-1.0	10.3	11.3	9.8	9.3
Australian Small Companies	1.9	1.9	24.6	12.6	6.3	8.1
International Shares (Unhedged)	-0.9	2.6	12.6	22.1	15.6	13.3
International Shares (Hedged)	1.5	4.4	19.3	20.4	12.3	11.7
Emerging Markets (Unhedged)	0.4	2.0	23.6	15.4	5.9	8.3
Australian Property Securities	0.9	0.5	22.5	13.5	8.3	8.4
Global Property Securities (Hedged)	-1.7	-0.7	5.3	5.1	2.4	
Global Listed Infrastructure (Hedged)	-1.3	1.2	12.1			
Australian Bonds	-0.8	-1.3	3.0	3.5	-0.6	1.8
Global Bonds (Hedged)	0.3	0.6	4.3	3.6	-1.3	
Cash	0.3	0.9	4.1	4.2	2.8	
Change over the month						
AUD/USD	2.45%	0.6693				

Past performance is not a reliable indicator of future performance.

Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

Australian Markets

The Australian share market finished December modestly higher, returning around +1.3%. Broader indicators of market momentum pointed to positive trading periods in mid-December, including a late month “Santa Claus rally” where the S&P/ASX 200 and All Ordinaries advanced across most sectors amid commodity price strength.

Over the month the Australian share market was positively influenced by an upswing in commodity prices (metals and energy) lifting resource stocks. However, the market was sensitive to inflation numbers and RBA commentary negatively impacting tech and discretionary stocks.

Best performing sectors were Materials, Energy, Financials and Telecommunications. Weakest were Technology, Consumer Discretionary and select financials in risk off periods.

Strong performing stocks were tied to commodity price rallies (including copper and gold), and gains in major miners such as BHP, Rio Tinto, Fortescue and gold miners such as Northern Star Resources and Evolution mining. Helping lift the telecommunications sector was Aussie Broadband and Telstra.

Weakest performers amongst the tech sector were TechnologyOne, NextDC, and Life360 on the back of interest rate concerns.

Over the 12 months to December 2025 the Australian stock market returned around +10.3%, with the materials sector tripling that performance.

The materials sector outperformed others significantly in 2025 with a +36.2% rise, driven by strong metal prices and led by stocks like Pantoro Gold (+220%), and Resolute Mining (+206%), vastly surpassing the overall ASX 200's +10.3% increase. Gold miners such as Regis Resources Ltd (+196%), and Genesis Minerals Ltd (+194%) drove gold stock returns over the year.

The healthcare sector faced challenges over the year, falling -23.7% dragged down by CSL (-39%) and Pro Medicus's (-12%) decline, CSL was impacted by restructuring plans and lower global vaccine demand issues.

The Australian small cap sector had a bumper year with the S&P/ASX Small Ordinaries Index returning +24.6%, significantly outperforming the ASX 200. This was one of the best calendar performances for the Small Ords in recent years, reflecting a pronounced small-cap rally, and rotation out of larger stocks into more cyclical, value-orientated small companies.

Global Markets

Returns from global equity markets were relatively modest in December 2025. There was no broad, strong rally across major regions. This reflected caution among investors as year-end approached, with markets digesting mixed signals on growth, inflation and monetary policy. It seems equity markets are shifting from story-driven rallies to results driven scrutiny.

Global equities returned for the month around -0.9% unhedged and about +1.5% hedged. Signalling negative returns on an unhedged basis and highlighting that December weakness was fundamentally currency-driven rather than equity-driven.

Global stock indices were dragged down by a slight pull-back in U.S. returns from both the S&P 500 and Nasdaq towards the year-end, reflecting profit-taking after strong annual gains. However, European markets were modestly positive, with indices such as the STOXX Europe 600 hovering near record levels in year-end trading. The final days of the month saw slight gains or flat performance, cushioning the broader year gains. UK's FTSE 100 delivered a notable return, gaining approximately +2.2% as part of the traditional “Santa rally”, helping push the index to close the year near new highs.

Emerging markets were broadly flat, with gains in parts of Asia offsetting by softer Latin American performance.

However, the picture for global equity returns for the 12 months to December should please investors. The broader global equity index returned around +12.6% unhedged and hedged +19.3%. Global markets were pushed along by the strength of the U.S. S&P 500, which returned around +16.2% supported by a bunch of AI related tech stocks in the Nasdaq index which was up +20% for the year. Top five U.S. stock movers were Sandisk (+550%), Western Digital (+280%), Micron Tech (+235%), Robinhood Markets (+190%), Warner Bros, and Discovery (+170%).

The STOXX Europe 600 - a broad benchmark covering large, mid and small-cap equities across 17 European countries - delivered a strong annual gain in 2025, finishing up around +16% -18 % for the year. This was one of the best annual performances since 2021, reflecting broad investor demand and rotation into European equities.

For the year emerging markets delivered robust positive returns, significantly outperforming many developed markets. The Emerging Markets Index rose more than +23% for the full year outpacing broader global equities benchmarks, driven by positive macro and monetary environment, and weak U.S. dollar.

Interest Rates and Bonds

Global government bonds delivered modest returns as yields on long-dated bonds rose. Global corporate bonds fared marginally better, as spreads narrowed, the global aggregate bond index returned -0.3% for the month, while the global corporate bond index lost -0.1%.

December was an extremely busy on the monetary policy front, with a flurry of rate decisions from major central banks. Policy divergence gained traction as a prominent theme: The U.S. and UK continued an easing path, while Europe, Canada, and Australia left rates unchanged at 3.60%, and appear increasingly likely to remain on hold (or even hike rates) in 2026. The European Central Bank (ECB) held deposit rates at 2.0%, reaffirming a data-dependent stance and signalling no urgency for near-term policy changes with inflation near its 2% target.

Broad sovereign bond performance was generally solid in 2025. For example, the Bloomberg US Aggregate Bond Index, a widely used benchmark that includes U.S. government and investment-grade corporate debt returned about +7.6% over the year, indicating decent overall bond returns as yields declined and capital prices rose.

Across the year, Australian fixed income was shaped by RBA rate expectations and evolving inflation dynamics. After the RBA cut the cash rate from multi-year highs in February 2025, market pricing oscillated between potential further cuts and inflation persistence — which kept yields elevated and the overall environment volatile for bond markets.

International and domestic investors increasingly participated in Australian debt markets, attracted by higher yields and liquidity, particularly in government and high-quality corporate bonds relative to global peers. By late December, the two-year Australian government yield was around 4.0%, while the three-year was near 4.09% and the five-year about 4.25% — a level signalling significant compensation for duration risk post-rate cuts.

The Australian composite bond index returned a modest +3.1% for the year whilst the global aggregate bond index returned +4.6%, and the global corporate bond index gained +6.4%.

The two scenarios to watch most closely in early 2026 are:

1. Inflation re-accelerates or stays sticky (services, housing, administered prices): pushing yields higher, hurting duration, and can widening spreads from tight levels.
2. Growth slows materially: supports duration returns but can pressure lower-quality credit and widen high yield spreads.

Currencies and Commodity Markets

On the currency front the AUD finished the calendar year just under US\$0.67 and steady against the British Pound at AUD2.02/GBP. While Europe, Canada and New Zealand have cut their cash rate on eight occasions each over the past 18 months, to 2.15%, 2.25% and 2.25%, respectively, the RBA continues to fight a sticky rate of inflation currently at around 3.8%. They have cut the RBA cash rate on three occasions between February and August 2025 from 4.35% to 3.60%.

For the 12 months to December 2025, gold rallied +64% from US\$2,693/oz to US\$4,332/oz. And with the relatively weak Australian Dollar, the Aussie producers are enjoying a phenomenal gold price of A\$6,500/oz. Given gold can be seen as a geopolitical hedge, it can be concluded that the strongly rising gold price is correlated to a loss in confidence towards governments.

With the Chinese residential property sector crisis, seeing many property developers entering administration, it was surprising to observe iron-ore finishing the year at US\$107.13/tonne. With some new significant iron-ore projects coming on stream over the foreseeable future, it is possible the iron-ore price will come under pressure. Note the Australian Treasury is targeting US\$60-US\$83 per tonne by late-2026.

Copper enjoyed +41% rally over 2025, from US\$4.02/lb. to US\$5.69/lb.

Oil was subdued, down -15% from US\$71.72/bbl to US\$60.91/bbl.

The World Bank projects global commodity prices falling to a six-year low in 2026, marking a fourth consecutive yearly decline, largely on ample supply and weaker demand. The implication of softer commodity prices is a headwind for broadly commodity-linked currencies (including AUD), all else equal.

Bitcoin recorded large volatility in 2025 trading between US\$76,000 and a record high of US\$125,000 and closed the year at US\$87,720.

Crypto markets are poised for transformative growth in 2026, as clearer regulation and accelerating institutional integration deepen crypto's role in the core financial system.



Outlook for Investment Markets

What Investors Should Watch in 2026

With Australia's economic landscape shaped by a blend of domestic policy interventions and global uncertainties, investors need to remain vigilant and agile. Key indicators and areas to monitor are:

GDP and Productivity Metric: Investors should be cognisant of GDP growth trends and productivity improvements. As noted by the Organisation for Economic Co-operation and Development (OECD) and Deloitte, these metrics will be a barometer of economic strength and resilience. Real wage growth, and productivity gains could unlock further investment in technology and skills enhancement.

Monetary Policy Developments: Watch for further adjustments by the RBA. Interest rate policies and inflation trends will directly influence borrowing costs, consumer spending, and the overall investment climate.

Labour Market Indicators: Monitoring employment trends, wage growth and job vacancy rates will offer valuable insights into the underlying strength of the economy.

Fiscal Policy and Public Investment: The impact of fiscal measures – including tax cuts, public investments, and social policies will begin to manifest over time. Investors should track government spending patterns and budget announcements, especially in sectors like healthcare and education where long-term societal benefits are expected.

Global Trade Dynamics: Given Australia's reliance on commodity exports and international trade, developments in global trade relations, particularly with China and the United States will remain critical.

Conclusion: As Australia enters 2026, its economic outlook is characterised by a cautious recovery that is both promising and vulnerable. For investors, the take-home message is one of cautious optimism. With enhanced productivity, sustained public

Where to Invest?

The ASX 200 12-month-forward (12MF) price-earnings ratio (17.9x) is at a 9.4% premium to the 10-year average looks more reasonable relative to recent excessive levels. The ASX 200 12MF dividend yield remains lower than historic levels at 3.4%. ASX dividends in 2026 are forecast to start growing again after three years of declines.

2026 is looking promising for a number of asset classes and industries. The following areas are worth monitoring:

- On the back of strong U.S. economic growth, U.S. valuations continue to look stretched. Other markets look more reasonable, but only slightly cheaper. Regions like Europe and emerging markets should continue to shine into 2026.
- Emerging market equities look attractive. Despite concerns in China, the recent rally of Chinese tech companies makes sense. They were too cheap for too long while China was deemed 'un-investable', but ever since President Xi shook hands with Alibaba Founder, Jack Ma and announced an equal playing field for private and public companies, valuations re-priced higher. Expect this trend to continue.
- Latin America remains cheap relative to other Emerging Market regions and compared to its own history. At the same time, we are seeing improved earnings in the region. While far from certain, election polls seem to be moving to more market friendly candidates in both Brazil and Chile.
- When it comes to bonds, there is still attractive high-quality income on offer to investors. However, given expected higher growth and higher inflation view in the U.S., potentially too many rate cuts are priced in the U.S.
- Credit spreads are looking extremely tight, especially in the U.S. There is better value in Europe, Australia and securitised credit.

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